Acc501 solved quiz # 4
Solved By Pin2.

1. The relationship between real and nominal returns is described by the:
Select correct option:
M&M Proposition

Capital Asset Pricing Model

Fisher's Effect
BCG Matrix

2. Which of the following ratios are intended to address the firm's financial leverage?
Select correct option:

Liquidity Ratios

Long-term Solvency Ratios
Asset Management Ratios

Profitability Ratios

3. An investment should be accepted if the Net Present Value (NPV) is _____ and Rejected if it is _____.
Select correct option:

Positive; positive

Positive; negative
Negative; negative

Negative; positive

4. In which of the following procedure of voting for a company's directors, each Shareholder is entitled to one vote per share?

Select correct option:

Straight Voting

Proportional Voting

Cumulative Voting
None of the given options

5. The preferred stock of a company currently sells for Rs. 25 per share. The annual dividend of Rs. 2.50 is fixed. Assuming a constant dividend forever, what is the rate of return on this stock?
Select correct option:
5.00 percent

7.00 percent

8.45 percent

10.0 percent

6. Which of the following form of business organization is least regulated?
Select correct option:
Sole-proprietorship
General Partnership

Limited Partnership

Corporation

7. Which of the following cash flow activities are reported in the Cash Flow Statement and Income Statement?
Select correct option:
Operating Activities
Investing Activities

Financing Activities

All of the given options

8. A given rate is quoted as 9 percent APR, but the EAR is 9.38 percent. What is the compounding period?
Select correct option:
Semiannually

Quarterly

Monthly
Daily

9. Mr. Aslam owns 100 shares of a company and there are four directors to be elected. How much votes Mr. Aslam would have as per cumulative voting procedure?
Select correct option:
100 votes

200 votes

300 votes

400 votes

10. Which of the following terms refers to the use of debt financing?

Select correct option:
Operating Leverage

Financial Leverage
Manufacturing Leverage

None of the given options

11. Which of the following financial statement shows both dollars and percentages in the report?
Select correct option:
Balance Sheet

Common-Size Statement

Income Statement

Relative Statement of Equity

12. A _____ is an agent who arranges security transactions among investors.
Select correct option:
Broker
Dealer

Member

Specialist

13. In which type of the market, securities are originally sold to the investors?
Select correct option:
Primary Market
Secondary Market

Tertiary Market

None of the given options

14. Which of the following item(s) is(are) not included while calculating Operating Cash Flows?
Select correct option:
Depreciation

Interest

Expenses related to firm's financing of its assets

All of the given options

15. Balance sheet for a company reports current assets of Rs. 700,000 and current liabilities of Rs. 460,000. What would be the Current Ratio for the company if there is an inventory level of Rs. 120,000?
Select correct option:
1.01

1.26

1.39

1.52

16. SNT Corporation has policy of paying a Rs. 6 per share dividend every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?
Select correct option:
Rs. 30

Rs. 40
Rs. 50

Rs. 60

17. If a firm uses cash to purchase inventory, its quick ratio will:
Select correct option:
Increase

Decrease
Remain unaffected

Become zero

18. A firm has paid out Rs. 150,000 as dividends from its net income of Rs. 250,000. What is the retention ratio for the firm?
Select correct option:

12 %

25 %

40 %
60 %

19. If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?
Select correct option:

D2 = D1 x (1 + g)

D2 = Do x (1 + g)2

D2 = [Do x (1 + g)] (1 + g)
All of the given options

20. One would be indifferent between taking and not taking the investment when:
Select correct option:
NPV is greater than Zero

NPV is equal to Zero (doubt)
NPV is less than Zero

All of the given options

" An investment should be accepted if the net present value is positive and rejected if it is negative." Pg 104.